

LEND-UP FINANCIAL SERVICES LTD

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INTERNAL AUDIT & SHORTAGE ASSESSMENT REPORT

FORENSIC INVESTIGATION UNIT

Investigation Ref:	AUD-9127
Branch / Location:	Luzira Trading Centre, Nakawa - Kampala
Auditee(s) / Subject:	John Mukasa
Audit Period:	01 April 2026 to 12 May 2026
Confirmed Shortage:	UGX 7,900,000

I. EXECUTIVE SUMMARY

Internal Audit conducted an investigation into suspected fraud and operational misconduct. The investigation established that the auditee intentionally failed to remit field loan repayments and converted funds for personal use, resulting in a confirmed shortage.

The auditee's primary responsibilities included collecting and remitting loan repayments to the office.

II. AUDIT FINDINGS & MODUS OPERANDI

Our investigation establishes that the subject utilized the following methods to circumvent controls:

During the verification exercise, clients confirmed they did not receive the funds documented. Signatures on the loan agreements were found to be forged. The auditee was unable to account for the missing cash.

III. ROOT CAUSE & VULNERABILITIES

The following systemic weaknesses allowed the shortage to occur:

Weak client verification controls, poor segregation of duties, and inadequate field supervision.

IV. ACCOUNTABILITY & RESPONSIBILITY

Subject Staff: **John Mukasa**

Supervisory Oversight: **UNSPECIFIED**

V. DISCIPLINARY & RECOVERY RECOMMENDATIONS

Internal Audit recommends the following immediate actions:

- **1. Immediate recovery efforts should be initiated.**
- **2. Field officers must not disburse funds without supervision.**
- **3. Conduct surprise field audits regularly.**

VI. AUDITOR'S DECLARATION

"I declare that this investigation was conducted with full independence. The findings are based on verifiable audit evidence including client ledger reconciliations and field verification exercises."

Internal Auditor / Lead Investigator

(Signature & Stamp)

Date: May 15, 2026

Chief Internal Auditor

(Final Review & Approval)

APPENDIX A: AFFECTED CLIENTS & SHORTAGES

No.	Client Name	Loan Date	Remarks	Shortage (UGX)
1	James Okello	2026-05-06	Verified Shortage	900,000
2	Grace Tusiime	2026-04-29	Verified Shortage	7,000,000
Total Shortage:				UGX 7,900,000